

REFORMS AND RETURNS

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AS THE NATION PREPARES FOR THE UNION BUDGET 2024-25, INVESTORS ANTICIPATE CONTINUED POLICY SUPPORT ACROSS SECTORS—ESPECIALLY FOR INFRASTRUCTURE, MANUFACTURING, AND RURAL—WHICH WOULD TRIGGER RALLIES IN SHARES IN THESE SECTORS

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HAVE YOU HEARD of RRR? No, we aren't talking about the Oscar-winning blockbuster film, though this RRR is a blockbuster of a different kind. We're talking about the trinity of Reforms, Rewards, and Returns, from the lens of market participants. Reforms, if successfully implemented, can provide rewards and generate positive returns. And that, for market participants, is a blockbuster.

Let's break it up. Reform is high on the agenda for Narendra Modi, who recently became India's Prime Minister for the third consecutive term. With the Union Budget 2024-25 around the corner, expectations are high on the Street of continued policy support across sectors—especially infrastructure, manufacturing, and rural—to sustain the growth momentum, which in turn will boost the markets.

Government schemes and policies have contributed immensely to India's growth in the past decade. As a

result, sectors such as consumer durables, industrials, capital goods, real estate, and infrastructure have outperformed the market during that period. The numbers confirm this. Since May 2014, the BSE Consumer Durables index advanced the most at 661%, followed by the BSE Industrials (520%), the capital goods index (411%), consumer discretionary (400%), realty (361%), and information technology (355%), while the benchmark BSE Sensex advanced 230%.

Mohit Batra, Founder and CEO of equity research firm MarketsMojo, says, "The Modi-led government has undertaken significant reforms over the past decade, transforming India—from being part of the Fragile Five to the fastest-growing economy globally."

One such reform is the goods and services tax (GST). The implementation of GST in 2017 has benefited sectors such as consumer durables, industrials, capital goods, and real estate, per market analysts. Another government programme that helped the sector was the